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**RE: Reforming Proposed Amendments to Permit Optional Semiannual Reporting by Public Companies –
File Number S7-2026-15**

Vanessa A. Countryman, Secretary
Securities and Exchange Commission
100 F Street NE
Washington, DC 20549109

Dear Ms. Countryman:

I appreciate the opportunity to comment on the Securities and Exchange Commission's proposal to permit domestic reporting companies to file one semiannual report and one annual report per fiscal year, as a replacement for the quarterly reporting regime that has existed since 1970. I am writing as an investor and an accounting analyst.

During the California and Klondike gold rushes of the 19th century, many prospectors believed they had “struck it rich” but were instead deceived by striking iron pyrites – “fool’s gold.” This proposal is the fool’s gold of securities regulation. It promises to end short-termism in management thinking without providing any evidence that it will do so. It promises to supercharge initial public offerings – whose recent popularity seems to be wholly unrelated to “burdensome” quarterly reporting requirements. It promises issuer cost savings without considering the costs markets may impose through higher cost of capital. By keeping auditors out of the quarterly information cycle within their audit clients, it will make audits more difficult and possibly less effective. The expected cost savings from this proposal may well turn out to be “fool’s gold.”

Quarterly reporting contributes to the integrity, liquidity, and attractiveness of U.S. public equity markets. The existing requirement underpins how investors of all types build valuation models, monitor risk, and allocate capital. It benefits more than just debt and equity investors: lenders craft debt covenants based on quarterly information, and audit firms get an early start on problems they might encounter before year end – when the pressure to complete the audit is tremendous.

Reducing the frequency of required reporting would weaken one of the mechanisms that narrows the information gap between corporate insiders and public investors. Longer intervals between mandatory reports would widen the information advantage of insiders over investors of all sizes. It would widen the information advantage of large institutions over retail investors. Institutional investors can rely on alternative data, private meetings, and bespoke research not available to retail investors, who are more dependent on Form 10-Qs to understand operating performance, balance-sheet health, and emerging risks.

The proposal undermines the Commission’s three-part investor-protection mandate: to protect investors, maintain fair, orderly, and efficient markets, and facilitate capital formation. After the 1929 crash, Congress created the SEC to restore confidence by requiring truthful disclosure and fair dealing. Capital formation is not a substitute for investor protection; capital formation depends on markets that investors trust, and those markets are buttressed through robust disclosure by issuers.

Stretching the gap between mandatory periodic reports from three months to six months would not *eliminate* the demand for current information; it would simply *push* more of that information into private or unequal channels, widening the advantage of insiders and sophisticated intermediaries over ordinary shareholders.

That asymmetry would likely degrade market quality. When public financial information becomes stale, market makers and counterparties face greater risk and have reason to widen spreads to compensate for that added risk shouldered. Volatility is also likely to become more concentrated around the fewer remaining periodic report dates, because more information would arrive in larger increments. The burden would fall especially heavily on smaller issuers.

The proposal would also impair the ability of long-term investors and fiduciaries to do their jobs. As pointed out by the California Public Employees' Retirement System in their comment letter, quarterly data materially improves trend identification and risk monitoring by providing four observations per year rather than two: critical for tracking operating data points such as revenue, margins, taxes and cash flow; balance sheet metrics such as leverage; and other developing risks. And as Pranav Ghai of Calcbench has reported in his comment letter, there is growing institutional demand for quarterly data, and investors have built portfolio monitoring, valuation models, and risk systems around a quarterly cadence. Less frequent reporting would therefore not simply inconvenience investors; it would make capital allocation less informed and stewardship less effective.

The proposal's short-termism rationale is unpersuasive. Professor Shivaram Rajgopal, the Roy Bernard Kester and T.W. Byrnes Professor of Accounting and Auditing at Columbia Business School, has stated, "R&D programs, capital expenditure decisions, and strategic acquisitions have multiyear horizons. They do not operate on three-month cycles, and they will not operate on six-month cycles. A CEO inclined to sacrifice a research program to make quarterly earnings will make the same sacrifice to make semiannual earnings. Halving the reporting frequency does not cure managerial myopia; it gives it a longer runway."

International comparisons do not support reducing U.S. disclosure frequency. China requires listed companies to publish quarterly, semiannual, and annual reports under China Securities Regulatory Commission regulation, with detailed exchange prescribed formats for quarterly filings. That matters because China is a large, globally significant market – a rival that makes 50-year plans, supposedly. Yet in that market, the regulatory choice has been to maintain a formal quarterly reporting framework rather than reduce periodic transparency.

The example of Progressive Corporation points in the same direction. Progressive has voluntarily provided detailed monthly financial results to investors since at least the early 2000's, and in its own investor materials explains that it reports monthly "in order to give investors and creditors the same information Progressive's management uses to assess business performance." Progressive also ties monthly reporting to its core value of integrity and to its commitment to "timely, accurate, and complete financial reporting," stating that "to that end, we report our results monthly." A credible, sophisticated public company has concluded that more frequent standardized disclosure strengthens alignment with investors and creditors; it has not concluded that less frequent disclosure would improve long-term decision making.

Nor is it clear that the proposal would produce the savings its proponents suggest. Professor Rajgopal notes that many companies would still need to produce quarterly financial information for lenders, ratings processes, index eligibility, internal management, and other commercial functions, meaning the accounting work would often continue even if public disclosure became optional. In that scenario, the practical effect of the rule would be not to eliminate the production of information, but to move it away from the public market and into private channels. That is difficult to reconcile with the Commission's obligation to protect investors and maintain fair, orderly, and efficient markets.

If the Commission wishes to reduce issuer burden, there are better alternatives. It could streamline the content of Form 10-Q, reduce boilerplate, sharpen materiality expectations, and modernize the presentation of quarterly information without reducing frequency. If the concern is short-termism, the Commission could focus on forward earnings guidance and executive incentives rather than weakening the historical reporting framework on which investors rely. Those approaches would address cost and behavior more directly while preserving transparency.

For these reasons, the proposed amendments should be withdrawn. Optional semiannual reporting would deliver, at most, modest and potentially illusory compliance savings, while imposing real costs on investor protection, price discovery, liquidity, comparability, and fiduciary oversight. The Commission's mission is not merely to facilitate capital formation in the abstract; it is to protect investors and maintain fair, orderly, and efficient markets so that capital formation can occur on trusted terms. Preserving mandatory quarterly reporting is far more consistent with that mission than cutting the public information cycle in half.

Best regards,

A handwritten signature in black ink, reading "Jack Ciesielski". The signature is fluid and cursive, with the first name "Jack" and last name "Ciesielski" clearly legible.

Jack Ciesielski
President, R.G. Associates, Inc.